YOGAKSHEMAM LOANS LIMITED

POLICY ON AUDIT AND INSPECTION-2018

Revision History

History	Adopted by	Date
Original Approval	Board Meeting	17.05.2018
1st Review	By circulation to Board	09.08.2018
2nd Review	Board meeting	23.01.2021
3rd Review	Board Meeting	25.03.2025

Contents

I. Introduction

This policy is framed to act as the guiding principles in framing procedures for the conduct of various audits across the organisation.

II. Types of Audit/ inspection

The company shall have the following audits/ inspections

A. Statutory Audit
B. Internal Audit
C. Special Audit
D. Vigilance inspection.
E. Secretarial Audit

A. Statutory Audit:- Statutory audit is the audit carried in accordance with the statutory provisions under the Companies Act, the Rules made thereunder and the regulations or guidelines issued by Reserve Bank of India (RBI) or such other regulatory body having supervisory control over the company from time to time. The appointment and the terms and conditions of appointment, process and procedures of audit shall be in accordance with the statutory provisions relating to them.

B. Internal Audit:

The company shall have a full-fledged internal audit department to be headed by a qualified and competent person (Hereafter referred to as Head of Audit). This audit envisages the thorough checking of transactions for ensuring the compliance with regulatory requirements of RBI, business process and internal instructions on transactions, to prevent and detect frauds and other risks related to the business including that of outsourcing arrangements. The audit shall be carried by the employees of the company either permanent or on contract basis having necessary skill sets required for the job. The internal audit function of the company will have two audit verticals;

1. Verification of Gold such as quality /purity checking, weighing and cross verification of records,KYC&FPC compliance and verification of documents connected with gold loan.

2. Verification of loan documents of non- gold loan portfolios, financial records, vouching, KYC&FPC compliance connected with the above loan portfolios.

The Head of Audit shall functionally report to the Audit Committee of the Board.

a. While conducting his audit at the branch level the auditors shall seek the response of the auditees in case of adverse observations. Wherever the mistakes are rectified in their presence the same may be reflected in the report.

Review and reporting [2]

b. Auditors shall submit their report to the Head of Inspection and Audit (presently designated as)Chief Manager and in his absence to CFO and EVP &CS by 15th of the succeeding month from the end of the quarter to which the audit relates for management responses.
c. The auditor shall submit his reports with management responses to the audit committee at its meeting held immediately after the end of the quarter to which the audit report relates.

Closure of reports

d. The adverse observations, if any, reported by the auditors shall be rectified by the management within 90 days of presentation of the report or such other time as may be directed by the Audit Committee.

e The auditors hall oversee the closure of the adverse observation in the high risk category of a report during his next audit and comment on the status in his next report to the audit committee.

f. The internal audit report having adverse remarks considered to be High Riskon a risk based approach shall be closed within a period of 60 days from the date of report or such other time as may be directed by the Audit Committee.

C. Special Audit or Auditors on Contract

i)The company mayengageindividuals, partnership firms, or Limited Liability Partnership or body corporates who are professionally qualified , or having specialised knowledge or expertise in any field to carry out an audit or verification in the company either generally or one or more functions as it may deem fit

ii)Subject to the provisions of Section 138 of the Companies Act,2013,('the Act')and the rules made thereunder the Board may on the recommendation of the Audit Committeeappoint a Chartered Accountant, or cost accountant or such other professional qualified to act as the Special Auditor in the opinion of the Board in consultation with the Statutory Auditorsconduct a special audit on financial management operations, taxation and other statutory or regulatory requirements as envisaged under the Companies Act and also to test the effectiveness of the Internal audit functions and internal financial controls of the company. The auditorso appointed shall report to the audit committee of the Board.

iii)A person appointed as an auditor for this purpose shall not be an employee of the company, its subsidiary or associate company and should not be relative or partner of the promoters or Key managerial personnel. However, certain areas of internal audit requiring specific business knowledge such as gold appraisal etc can be carried out by the employees of the company subject to the overall assessment of the process by the external auditor.

Scope of Audit

a.The scope of Special audit shall be as decided by the audit committee from time to time in consultation with management and statutory auditors.

b.While fixing the scope of audit, the committee may give regards to a risk based audit approach. The risk based approach may be based on materiality, criticality of any function or department in the company or compliance with statutory or regulatory provisions and exposure of company to external risk factors.

c.The auditors may fix up audit parameters in consultation with the Audit Committee including the threshold limits for mandatory review of loan portfolios.

Review and reporting

d.The Auditors shall submit his report to the Head of Inspection and Audit (presently designates as)Chief Manager and in his absence to CFO and EVP & CS by 15^{th} of the succeeding month from the end of the quarter to which the audit relates for management responses.

e. The auditor shall submit his reports with management responses to the audit committee at its meeting held immediately after the end of the quarter to which the audit report relates

Closure of reports

i. The adverse observations, if any, reported by the auditors shall be rectified by the management within 30 days of presentation of the report or such other time as may be directed by the Audit Committee.

ii The auditors shalloversee the closure of the adverse observation in the high risk category of a report during his next audit and comment on the status in his next report to the audit committee.

D. Vigilance inspection:- Vigilance inspection in the organisation shall be preventive vigilance to check on corrupt practices among the employees and to conduct surprise check on employees and properties of the company or in its possession so as to ensure that the operations ofthe company are carried on in accordance with the established practices, set policies and guidelines pertaining to it issued from time to time.

E. Secretarial Audit.- In accordance with the provisions of Section 204 of the Companies [3]Act,2013 and the Rules made thereunder, wherever required the Board may appoint Secretarial auditor to perform the audit as prescribed under the law and to report to the Board .[4]

III. Structure,Scope and Periodicity of Internal Audit

The internal audit function of the company shall be headed by an officer who is not below the rank of a chief manager and who have worked in banks or NBFCs or other financial institutions for a period not less than 5 years and handled the function of audit for at least 2 years.

1. **Qualification of Auditors**:- Auditors appointed for the purpose of verification of Gold and cash shall be;

    a. A person who has been qualified as a gold appraiser from a reputed institution and having not less than 2 years of experience in gold inspection or appraisal or worked in a gold loan NBFC. OR
    b. A person who has experience of more than 3 years in the company in the gold loan department or any of the branches and his functions involves the appraisal of gold. OR
    c. A person who has experience of not less than 3 years in the gold loan involving gold appraisal in any NBFC and demonstrated good skill in appraisal of gold and inquisitive attributes required for an auditor.
    d. The auditors carrying on inspection of documents shall have an experience of not less than 5 years in the company or similar organisations.

2. **Periodicity**

    a. Gold:-The gap between two audits involving the gold and cash verification across the branches in Kerala shall not exceed 3 months. In respect of branches located in other states, the gap shall not exceed 60 days
    b. Documents: - The gap between two audits shall not exceed 6 months across the branches.
    c. Irrespective of the periodicity of reports, any matter such as frauds requiring urgent attention of the management shall be reported immediately.

3. **Structure**

    Internal Audit shall be supervised by the head of audit(presently Chief Manager andhe shall in turn report to the MD and CEO. A consolidated report shall be presented to the Audit committee on a quarterly basis.

IV. **Vigilance Inspection:-** Vigilance inspection shall be conducted at any time in any place of business of the company at the instance of the head of vigilance. While carrying out any such inspection, based on the report, the head of vigilance may recommend for a full-fledged audit/ inspection using external auditors/ inspectors. Wherever found necessary, they shall forward the report to disciplinary authority empowered to take disciplinary action against the erring employees.

The company shall set up the vigilance mechanism on or before 30thSeptember 2018.

Vigilance department will be reporting directly to Executive Vice President and Company Secretary

V. **Implementation:-** Managing Director & CEO of the company is authorised to issue necessary operational guidelines for the effective implementation of the policy.

VI. **Review and amendments to the Policy:-** The policy may be reviewed by the board on the recommendation of the Audit Committee. The policy shall be reviewed at least once in a year.

VII. **Effective date:-** This policy shall be effective from the date of its approval by the Board of directors.

VIII. **Expressions:-** In this policy wherever words are used in its singular form, it will mean and include its plural form as well and *vice versa.*

Wherever, expressions are made in the masculine character, it will mean and include its feminine equivalent as well and *vice versa*

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